

RADIANT INNOVATECH

Third-Party & Vendor Risk Management Policy

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1. Purpose

This policy governs the assessment, onboarding, and ongoing monitoring of third-party vendors and correspondent banking counterparties, in support of Basel III third-party risk management expectations and SOC 2 vendor management criteria.

2. Vendor Risk Tiering

Tier	Definition	Reassessment Cadence
Tier 1 - Critical	Handles customer PII, funds movement, or core banking data	Annually
Tier 2 - Significant	Operational dependency without direct data/funds access	Every 18 months
Tier 3 - Standard	Limited scope, no sensitive data access	Every 3 years

3. Due Diligence Requirements

All Tier 1 and Tier 2 vendors must provide a current SOC 2 Type II report (or equivalent) prior to onboarding, complete a security questionnaire covering encryption, access control, and incident response, and undergo sanctions/PEP screening for beneficial owners.

4. Correspondent Banking & SWIFT Counterparty Vetting

Correspondent banking relationships require enhanced due diligence (EDD) including verification of the counterparty's AML/CFT program, SWIFT BIC validation against the SWIFT directory, and confirmation the counterparty is not domiciled in a FATF-identified high-risk jurisdiction. Any SWIFT message with a routing/BIC code that fails directory validation is treated as a compliance violation pending manual review.

5. Annual Reassessment

All Tier 1 vendors are reassessed annually, including a refreshed SOC 2 report, updated security questionnaire, and sanctions rescreening. A vendor that fails reassessment is placed on remediation watch for 90 days before contract review.